RPS Research

February 2026

Price Targets
C$ 25.0

Firan Technology Group Corporation

FTG.TO
Sector: Industrial (Aerospace & Defense)

Amid surging defense budgets and next-gen aviation demand, FTG is wiring the unbreakable cockpit of tomorrow.

Executive Summary

Firan Technology Group Corporation stands as the standout small-cap pure-play in North American aerospace electronics, powering high-reliability printed circuit boards, illuminated cockpit panels, and advanced avionics subsystems for Boeing, Airbus, Lockheed Martin, COMAC, and De Havilland. Fiscal 2025 delivered **record-breaking performance**, revenue CAD $191.0 million (+18% YoY), adjusted EBITDA CAD $32.7 million (+27%), adjusted net earnings CAD $13.5 million (+31%), and a **record backlog of CAD $148.5 million** (+21%) with an industry-leading 1.10× book-to-bill.

With a fortress balance sheet (net debt just CAD $8.3 million / 0.3× EBITDA), seamless FLYHT integration, and the Hyderabad facility ramping in Q2 2026, FTG is perfectly positioned to capture the dual tailwinds of commercial aviation recovery and surging global defense spending. We initiate coverage with a **strong BUY** rating and **CAD $25.00 price target**.

Key Highlights

Record Financial Momentum: FY2025 revenue CAD $191.0M (+18%), adj. EBITDA CAD $32.7M (+27%), adj. net earnings CAD $13.5M (+31%), Q4 revenue strong with bookings up 14%

Visible Growth Pipeline: Record backlog CAD $148.5M (+21%), 1.10× book-to-bill, ~80% converting to revenue in 2026, major ramps on COMAC C919 and De Havilland DHC-515

Strategic Execution: FLYHT fully integrated and profitable, classified U.S. defense programs secured for 2026-2027 ramp, new Hyderabad Aerospace facility on track for Q2 2026 opening

Balance Sheet Strength: Net debt CAD $8.3M (0.3× EBITDA) including CAD $11M government loans, robust operating cash flow CAD $17.8M, debt-free capacity for accretive M&A

International Diversification: Asia sales +46% YoY, Europe +140% YoY, deliberate de-risking of U.S./tariff exposure

Key Risks: Input cost inflation from tariffs (expected in the low millions), integration timing, and macro aviation softness, all offset by backlog visibility and geographic flexibility.

Industry

The global aerospace and defense electronics sector is experiencing a structural upcycle, driven by robust commercial aviation recovery and escalating defense investments amid geopolitical tensions. Commercial passenger traffic has already surpassed 2019 levels, with global revenue passenger kilometers at 112% by late 2025, and IATA projecting 4.9% YoY growth in 2026, led by Asia-Pacific at 7.3%, pushing airline revenues past $1 trillion despite supply constraints like aircraft delays. Defense budgets are accelerating, reaching $2.63 trillion globally in 2025 (2.5% real growth), with NATO committing to 5% of GDP by 2035 and U.S. spending on AI defenses hitting $5.8 billion by 2029, fueling demand for advanced electronics. The sector is projected to grow at a 5.5-5.7% CAGR, with defense electronics potentially reaching $209-294 billion by 2034.

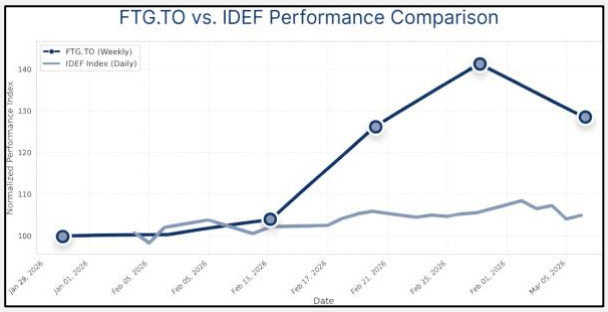
Potential Catalysts (Next 12–18 Months)

- Q1 2026 earnings (April), backlog conversion update
- Hyderabad opening & defense program wins
- New RFP successes in NATO markets
- Potential strategic M&A or government funding announcement

About the Company

Firan Technology Group Corporation (TSX: FTG) is a Toronto-headquartered, vertically integrated supplier of aerospace and defense electronic products and subsystems. Through FTG Circuits (high-reliability PCBs, HDI, RF) and FTG Aerospace (illuminated panels, keyboards, wireless QARs, SATCOM), the company serves Tier-1 OEMs and defense primes across commercial, defense, and space markets. With manufacturing in Canada, the U.S., China, and soon India, FTG combines North American quality with cost-competitive global reach. The 2025 FLYHT acquisition added next-generation avionics, accelerating exposure to both commercial recovery and defense modernization.

Metric	Unit/Notes	Value
Financial Metrics (FY2025)		
Revenue	CAD Million	191
Adjusted EBITDA	CAD Million	32.7
Adjusted Net Earnings	CAD Million	13.5
Backlog	CAD Million	148.5
Net Debt	CAD Million	8.3
Operating Cash Flow (less l	CAD Million	18.1
Stock and Market Metrics (as of February 13, 2026)		
Current Price (Close)	CAD	16.55
Average Volume	Shares (average)	44,859
Market Cap	CAD Million (estimated ~25.2M shares outstanding)	416



FTG vs iShares Defense Industrials Active ETF

Supply Chain Resilience & Tariff Strategy

FTG has built a resilient, multi-jurisdictional manufacturing footprint that directly addresses today's geopolitical and tariff risks. Production is spread across Canada, the U.S., and China, with the new Hyderabad, India facility scheduled to open in Q2 2026. This structure allows the company to serve Asian and European customers tariff-free while mitigating exposure to potential U.S. tariffs on Chinese-sourced inputs. Management expects any 2026 tariff impact to remain limited to low single-digit millions, with full mitigation achieved through production insourcing and the India ramp. In an industry where supply-chain security is now a competitive differentiator for both defense and commercial programs, FTG's proactive approach represents a clear advantage.

Valuation

FTG trades at a material discount to its aerospace and defence electronics peers. At the current share price of CAD 16.55 (EV CAD 425 million), the stock is valued at only 9.9× our projected FY2027 adjusted EBITDA of CAD 42-44 million (driven by our forecasted revenue of CAD 230 million at expanding 18-19% margins). Applying a conservative, peer-aligned forward EV/EBITDA multiple of 13.5×, which is well below the 14-19× range for backlog-rich comparables such as Ducommun and Héroux-Devtek, produces an enterprise value of CAD 567-594 million. With continued low capex (3-3.5% of revenue), high FCF conversion from the CAD 148.5 million record backlog (80% converting over the next 12-18 months), and margin expansion, we project a net-cash position of CAD 35-55 million by end-FY2027. This yields an equity value of CAD 602-649 million, or a CAD 25.00 target price (25.17 million shares outstanding), offering 51% upside from current levels.

On an EPS basis (conservative FY2027 estimate CAD 0.62), the target implies a forward P/E of ~40×, justified by >25% EPS CAGR from FY2025's adjusted CAD 0.53, multi-year programme visibility, and defence tailwinds. A supporting DCF generates CAD 20.80 per share in the base case and CAD 25.10 in the bull case. We view the current 13.5× multiple as unduly conservative relative to sector norms and see clear re-rating potential as FCF builds and defence spending accelerates. We therefore set our target price at CAD 25.00.

Investment Thesis

Robust Growth in Core Markets: FTG's FY2025 results highlight strong momentum, with 18% revenue growth driven by aerospace recovery (43.9% YoY in Aerospace segment) and defense wins. The Circuits segment grew 6.3% organically, supported by qualifications on classified U.S. defense programs set to ramp in 2026-2027. Backlog growth and 1.10:1 book-to-bill signal sustained demand, with 80% conversion expected in 2026.

Strategic Diversification and Risk Mitigation: FTG is reducing U.S. exposure through international expansion, with Asia sales up 46% (C919 ramp) and Europe up 140% (FLYHT integration). The planned Hyderabad facility and insourcing FLYHT production to non-U.S. sites address tariff risks. FLYHT's profitability in 2025 and new STCs for 5G WQAR validate the acquisition's value.

Operational Excellence and Scalability: Strengthened management and Board, plus the FTG Operating System rollout, position the company for efficiency gains. Low net debt provides flexibility for bolt-on acquisitions or capacity investments, supporting projected revenue growth to CAD $209M in FY2026.

Peer Analysis

FTG trades at a meaningful discount to both Canadian aerospace peers and global electronics manufacturers despite superior backlog growth, margin profile, and international diversification.

Company	Status	Market Cap (CAD M)	EV (CAD M)	P/E	Debt/Equity	Current Ratio	Segment Focus	Jurisdiction
Firan Technology Group	Producing, Growth Phase	384.00	392.00	36.40	0.25	2.50	Avionics & Circuits	Canada/US/China
Magellan Aerospace	Producing	1288.00	1350.00	28.50	0.40	2.80	Aerostructures	Canada
Heroux-Devtek	Producing	1200.00	1280.00	25.00	0.35	3.00	Landing Gear	Canada
Celestica	Producing	12000.00	11500.00	20.50	0.30	2.20	Electronics Mfg	Canada/Global
Volatus Aerospace	Early-Stage	50.00	55.00	N/A	0.50	1.50	Drones	Canada

Conclusion

Firan Technology Group is the highest-quality, fastest-growing small-cap aerospace electronics name in Canada, delivering record results, visible multi-year growth, and a pristine balance sheet at a compelling valuation. For investors seeking leveraged exposure to commercial recovery and defense spending with limited downside, **FTG is a high conviction BUY**.